The Omniscient Securities Pvt. Ltd.

28 October 2025
Sector : Construction

NBCC (India) Ltd

CMP : ₹110.31	Technical TP 1: 130 (+17.8%)	Technical TP 2: 188 (+70%)	BUY

NBCC (India) Limited is a Navratna CPSE under the Ministry of Housing & Urban Affairs, primarily engaged in Project Management Consultancy (PMC), Engineering, Procurement & Construction (EPC), and Real Estate development. With over 60 years of operational legacy, the company has executed large-scale government and institutional infrastructure projects across India and overseas. NBCC is the dominant PMC player in the country, handling marquee projects such as redevelopment of government colonies, smart city works, hospitals, universities, and defense infrastructure.

एन बी सी सी NBCC *A Navratna CPSE*

Business Outlook

• NBCC is a leading Government of India Navratna, specializing in large-scale redevelopment, PMC, EPC, and real estate projects for government and institutional clients, with operations also spanning international markets like the Maldives, Mauritius, and UAE.

• The company reported a robust consolidated order book of ₹1,20,307 crore as of June 2025, marking a record high and ensuring strong revenue visibility over 4-5 years, with key focus on government colony redevelopment, stressed asset revival, smart city construction, and PSU land redevelopment.

• NBCC's business model leverages self-sustaining redevelopment, monetizing a portion of land for commercial use to fund core infrastructure work, enabling scalable, debt-light growth and enhancing project execution capabilities.

• Strategic priorities include rapid expansion in healthcare, education, convention centers, and affordable housing, supported by key partnerships (e.g., AIIMS, IITs, NITs) and national missions like Smart Cities and PM Awas Yojana, positioning NBCC to capitalize on government-driven infrastructure demand.

• The company has accelerated its overseas footprint with major projects in Maldives and Mauritius, alongside technology integration in project management, contract processes, and sustainability practices to ensure exceptional execution and governance standards.

Key Highlights – Q1 FY26 & FY25 Performance Overview

• Consolidated revenue for Q1 FY26 stood at ₹2,391.19 crore, up 1.73% YoY, while PAT rose 31.72% YoY to ₹135.03 crore; EBITDA margin improved to 5.88% vs 4.81% in Q1 FY25, reflecting execution efficiency and better cost control.

• FY25 consolidated revenue closed at ₹12,038.57 crore, registering 15.68% YoY growth, driven by strong order execution in PMC and redevelopment verticals. FY25 consolidated PAT reached ₹557.42 crore, up 34.52% YoY.

• Segment-wise in FY25, PMC contributed ₹11,003.21 crore, EPC ₹735.63 crore, and Real Estate ₹253.75 crore, reinforcing the company's diversified execution base.

• The company secured ~₹23,250 crore of new orders in FY25, more than 2x the previous year, led by government redevelopment, institutional infra, and Amrapali Phase-2 packages — strengthening revenue visibility for FY26-27.

• NBCC declared its highest-ever dividend payout of ₹180.90 crore for FY25, supported by a debt-free balance sheet and strong operating cash flows; the company continues to maintain top-tier DPE ratings for financial and project delivery performance.

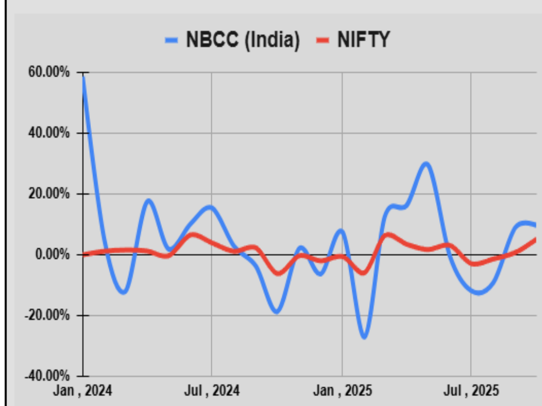
Quarterly Financials Consolidated

Rs. Cr	Q1 FY26	Q1 FY25	YoY (%)	Q4 FY25	QoQ (%)	9M FY25	9M FY24	YoY (%)
Sales	2,391	2,143	11.57%	4,643	-48.52%	9,910	7,546	31.33%
Operating EBITDA	110	92	19.57%	290	-62.07%	342	309	10.68%
EBITDA Margin (%)	5.88%	4.81%	22.25%	6.25%	-1.25%	3.45%	4.10%	-15.85%
Other Income	74	54	37.04%	55	34.55%	91	114	-20.18%
Finance Cost	-	-	-	-	-	-	-	-
Depreciation	3	1	200.00%	2	50.00%	7	4	75.00%
PBT	181	144	25.69%	196	-7.65%	580	476	21.85%
PAT	135	107	26.17%	176	-23.30%	460	374	22.99%
PAT Margin (%)	5.88%	4.99%	17.84%	3.79%	1.86%	4.64%	4.95%	-6.26%
EPS (₹)	0.49	0.39	25.64%	0.65	-24.62%	1.67	1.32	26.52%

Company Snapshot

NSE Code	NBCC
BSE Code	534309
Mkt Cap (Rs. cr)	31,644
52-Week Range	₹131/ ₹70.8
1M Avg Vol	9.2 Million
Free Float	38.25%
Equity Shares	2,700 Miliion

Relative Performance



Ratios

D/E	0.00x
ROE	21.82%
ROCE	29.96%
ROA	3.96%
PATM	4.63%
EBITDA Margin	5.88%

Valuations

P/E	49.8x
P/BV	12.8x
Div Yield	0.67%
Mkt Cap/sales	2.63x
EV/EBITDA	19.3x

Shareholding Pattern

Promoters	61.75%
FIIs	5.34%
DIIs	10.97%
Public	21.94%

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Key concall highlights

• Financial Highlights

• Consolidated revenue for Q1 FY26 stood at ₹2,391 crore, up 11.57% YoY, while PAT rose 26% YoY to ₹135 crore, reflecting improved operating efficiency and higher execution pace.

• Order book remains exceptionally strong at ₹1,20,533 crore as of June 2025, providing multi-year revenue visibility across PMC, redevelopment, institutional and overseas projects.

• The company secured ~₹2,400 crore worth of new business in Q1 FY26, including key wins such as JNV Campuses, MDA Redevelopment, UCO Bank HQ, Central University of Haryana, and World Trade Center interiors.

• Amrapali Phase-I nearing full completion — 19 out of 24 projects already delivered; remaining units expected by Mar-2026, while Phase-II works (~₹9,000 crore) have commenced with bulk-sale led cash backing.

• Geographic presence expanded through recent wins in Delhi-NCR, Maharashtra, Northeast, Chhattisgarh, and successful overseas handover in Maldives.

• Cash & bank balance stood at ₹460 crore as of June 2025, supporting working capital for large-scale redevelopment and PMC execution.

Management Guidance

• Future Revenue Growth:
Revenue guidance for FY26 is ₹14,000–₹15,000 crore, with expectations to cross ₹18,000–₹19,000 crore in FY27, and hit ₹25,000 crore by FY28.

• EBITDA Margin Outlook:
EBITDA margin target for FY26 is above 6% (standalone), with management confident about sustaining improvements through project mix and sale of real estate inventory.

• Order Book & Award Guidance:
Orders awarded guidance for FY26 is a minimum of ₹15,000 crore, with anticipation that order book may cross ₹2 lakh crore over the next three years due to advanced-stage negotiations with major PSUs and state governments.

Challenges

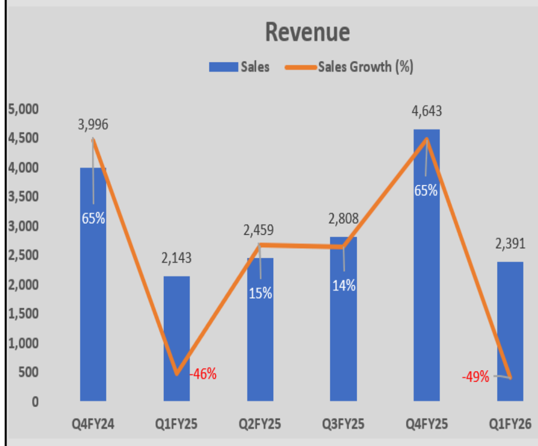
• Funding dependency on bulk-sales and monetisation remains key for large redevelopment projects; delays may impact execution timelines.

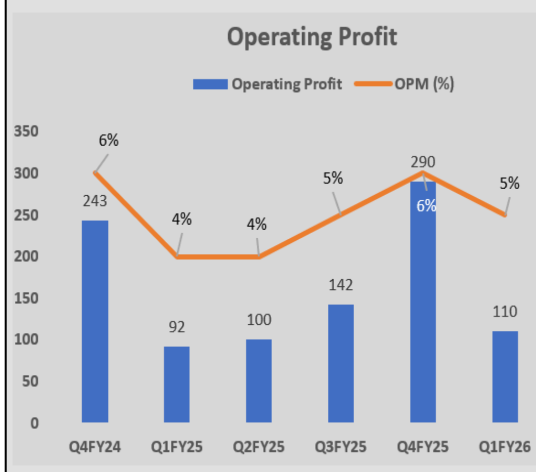
• Statutory and approval-linked delays remain structural constraints for government colony and PSU redevelopment work.

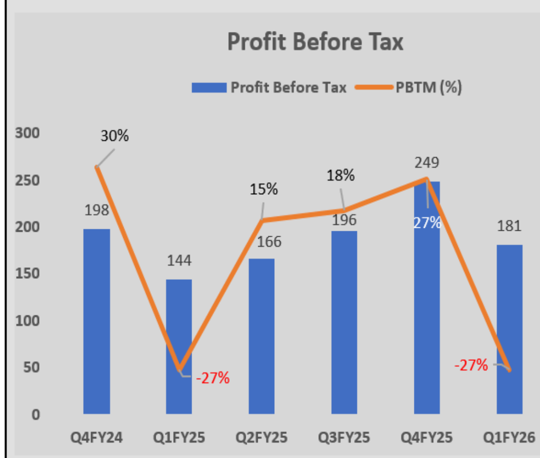
• Weather-related & regional execution issues in hilly/Northeast zones may temporarily affect progress on select projects.

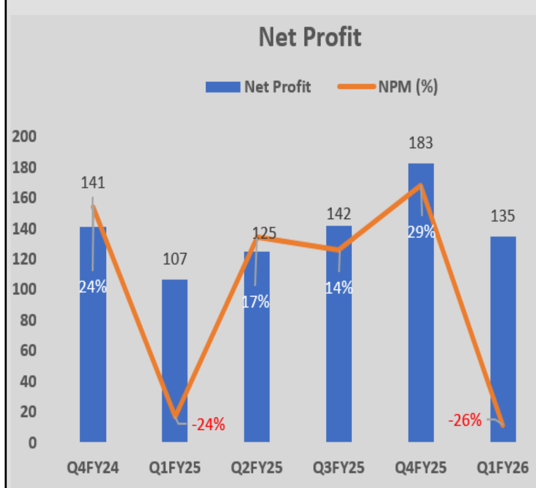
Quarterly Performance

(Rs. in Cr.)	Q3FY24	Q4FY24	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26
Revenue	**2,424**	**3,996**	**2,143**	**2,459**	**2,808**	**4,643**	**2,391**
Revenue Growth QoQ%	*-*	*64.85%*	*-46.37%*	*14.75%*	*14.19%*	*65.35%*	*-48.50%*
Expenses	2,306	3,753	2,051	2,359	2,665	4,353	2,281
Operating Profit	117	243	92	100	142	290	110
OPM %	5%	6%	4%	4%	5%	6%	5%
Other Income	**36**	**-44**	**54**	**67**	**55**	**-38**	**74**
Interest	*0*	*0*	*0*	*0*	*0*	*0*	*0*
Depreciation	1	1	1	1	2	3	3
Profit before tax	152	198	144	166	196	249	181
Tax %	25%	28%	25%	25%	27%	27%	26%
Net Profit	114	141	107	125	142	183	135
Net Profit Growth QoQ %	-	24%	-24%	17%	14%	29%	-26%
EPS in Rs	0.41	0.5	0.39	0.45	0.51	0.65	0.49









Order Book Breakdown by Business Verticals

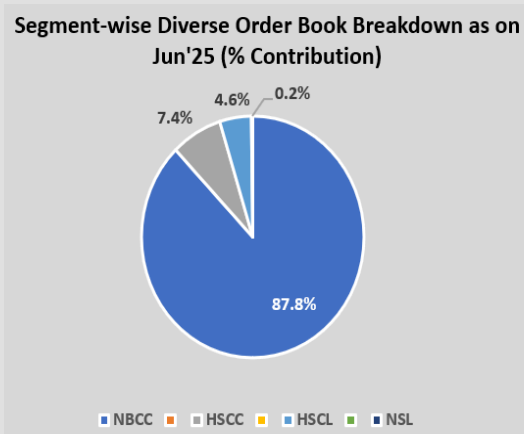
• NBCC reported a consolidated order book of ₹1,20,307 crore as of 30 June 2025, reflecting strong multi-year execution visibility. The core NBCC entity accounts for the largest share at ₹1,05,644 crore, while subsidiaries HSCC (₹8,872 crore), HSCL (₹5,587 crore) and NSL (₹204 crore) further strengthen the group's presence across healthcare, industrial, and consultancy verticals. The diversified order pipeline positions NBCC for sustained revenue growth over the next 3–4 years.

• PMC (Project Management Consultancy) — the dominant vertical: PMC remains the largest revenue driver, with consolidated PMC revenue of ₹11,003.21 crore in FY25, reflecting NBCC's leadership in government redevelopment, institutional and public-sector assignments.

• Redevelopment (largest share by value): Redevelopment/stressed-asset and government-colony projects account for a substantial portion of the portfolio (driven by marquee projects such as Amrapali, GPRA, Sarojini Nagar and Netaji Nagar) and represent the highest margin / value contribution within the orderbook.

• EPC (Engineering, Procurement, Construction) saw strong growth, contributing ₹736 crore (6%) in FY25, with further expansion in social housing (notably in Maldives, Mauritius), niche industrial, and infrastructure assignments.

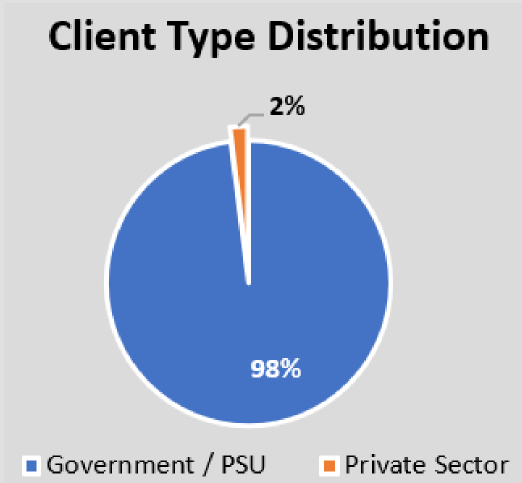
• Real Estate segment reported ₹254 crore sales, up 75% YoY, reflecting strong monetisation of inventory and successful bulk sales across Lucknow, Bhubaneswar, and Delhi projects. This vertical now comprises ~2% of NBCC's total order book, but carries higher margin potential.



Geographic breakup of NBCC's order book

• Domestic projects 85–87%: The bulk of the orderbook is domestic, driven by central/state government and institutional projects across Delhi-NCR, Maharashtra, Karnataka, Northeast and other states. NBCC's core strength remains government-led redevelopment and institutional work.

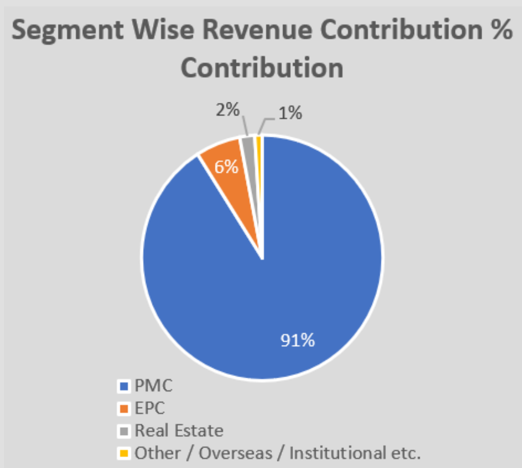
• Overseas 13–15%: Overseas exposure is limited (low % of orderbook) and focused on social-housing and institutional projects (Maldives, Mauritius, Seychelles, select Gulf assignments), providing diversification but not a large share of revenue.



Client-type distribution of NBCC's order book

• Government/PSU contracts constitute nearly 98% of order value, with NBCC being the "partner of choice" for central, state, and institutional public sector clients in redevelopment, healthcare, and smart city domains.

• Private sector share is minimal (2%), limited to select EPC and real estate developments, as NBCC remains primarily state-driven.



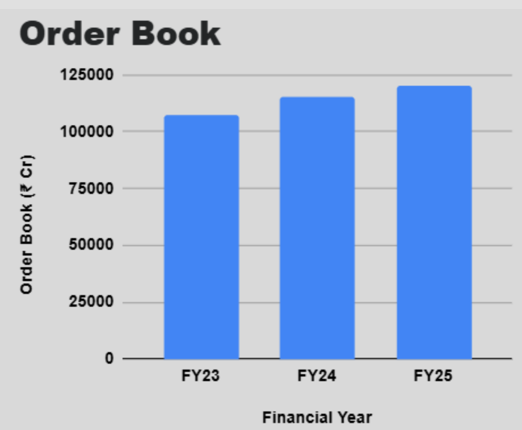
Risk Factors

• Heavy reliance on government and PSU contracts exposes NBCC to political, regulatory, and budgetary risks; changes in nomination/project allocation policies or funding delays can affect order inflow and execution timelines.

• Working capital cycles fluctuate with slow client payments, especially from state government and large institutional customers; additionally, competitive bidding in the PMC/EPC segments puts downward pressure on margins.

NBCC (India) – Segment-wise Diverse & High-Quality Order Book Breakdown as on Jun'25 (₹ in Crore)

Product Category	Jun'25 Order Book	% Contribution	Segment Explanation
NBCC (National Buildings Construction Corp)	₹1,05,644	87.80%	Core government project management, PSU/urban redevelopment, and institutional infra
HSCC (Hospital Services Consultancy Corp)	₹8872	7.40%	Healthcare infrastructure and hospital project consultancy and execution
HSCL (Hindustan Steelworks Construction Ltd)	₹5587	4.60%	Steel plant infra, industrial projects, civil works and engineering services
NSL (NBCC Services Ltd)	₹204	0.20%	EPC, real estate, and O&M services for public and private sector
Total Consolidated	**₹1,20,307**	**100%**	



Consolidated Financials

Key Ratios

Y/E March	FY21	FY22	FY23	FY24
Return Ratio				
RoA Ann. %	1.66%	2.07%	3.14%	3.96%
ROE Ann. %	12.68%	13.71%	18.04%	21.82%
ROCE Ann. %	16.51%	21.12%	27.57%	29.96%
Profitability Ratio				
EBDITA Margin %	5.17%	6.25%	7.16%	7.13%
EBIT Margin %	5.11%	6.19%	7.11%	7.06%
PBT AnnMargin %	5.04%	4.23%	5.35%	6.27%
NPM %	3.09%	3.16%	3.97%	4.63%
Asset Turnover %	0.6	0.7	0.8	0.9
Liquidity Ratio				
Current Ratio	1.1x	1x	1.2x	1.2x
Quick Ratio	0.9x	0.9x	1.1x	1.1x
Earning Retention %	62.29%	66.25%	75.80%	52.60%
Cash Earning Retention %	65.89%	71.70%	78.20%	68.90%

Profit & Loss

Y/E March (Rs. Cr)	FY22	FY23	FY24	FY25
Sales	7,691	8,876	10,407	12,039
Growth YoY%	-	*15.41%*	*17.25%*	*15.68%*
Total Expenses	7,483	8,532	9,890	11,409
Operating Profit	**208.00**	**344.00**	**517.00**	**630.00**
OPM %	*2.70%*	*3.88%*	*4.97%*	*5.23%*
Other Income	*121*	*38*	*51*	*138*
Interest	9	6	4	5
Depreciation	5	5	5	7
Profit before tax	315	372	559	755
Tax %	24.00%	25.00%	26%	26%
PBT	**315**	**372**	**559**	**755**
Tax	24.00%	25.00%	26%	26%
Net Profit	**238**	**278**	**414**	**557**
NPM Growth%	-	16.81%	48.92%	34.54%
NPM %	***3.09%***	***3.13%***	***3.98%***	***4.63%***

Balance Sheet

Y/E March (Rs. Cr)	FY22	FY23	FY24	FY25
Share Capital	180	180	180	270
Reserves	1,588	1,765	2,046	2,209
Net Worth	**1,768**	**1,945**	**2,226**	**2,479**
Long-Term Debt	0	0	0	0
Short-Term Debt	0	0	0	0
Total Debt	0	0	0	0
Net Debt	**-5,647**	**-4,919**	**-5,191**	**-5,716**
Other Non-Current Liabilities	444	442	279	169
Total Equity & Liabilities	**13,444**	**12,879**	**12,780**	**13,641**
Gross Block	**177**	**186**	**197**	**535**
Accumulated Depreciation	0	0	0	0
Net Block	**177**	**186**	**197**	**535**
Other Non-Current Assets	1,329	1,578	469	142
Investments	18	19	19	19
Trade Receivables	2,021	1,945	2,902	3,062
Cash & Cash Equivalents	5,647	4,919	5,191	5,716
Other Current Assets	2,348	2,488	2,230	2,689
Total Current Assets	11,586	10,761	11,782	12,686
Trade Payables	**3,269**	**3,497**	**4,121**	**4,756**
Other Current Liabilities	7,659	6,513	5,602	5,733
Total Current Liabilities	11,062	10,313	10,089	10,801
Total Assets	**13,444**	**12,879**	**12,780**	**13,641**

Cash Flow

Y/E March (Rs. Cr)	FY22	FY23	FY24	FY25
Profit from operations	167	253	473	493
Receivables	24	22	-1,038	-443
Inventory	30	116	64	-34
Payables	5	247	679	1,003
Loans Advances	0	0	0	0
Other WC items	-133	-1,000	-177	-338
Working capital changes	-75	-616	-472	189
Direct taxes	-12	-11	-13	-18
C.F. Operation	80	-374	-6	657
Fixed assets purchased	-6	-11	-45	-320
Fixed assets sold	0	1	0	0
Investments purchased	0	0	-249	0
Investments sold	0	0	0	7
Interest received	180	96	198	433
Other investing items	-141	189	-91	433
C.F. - Investment	33	272	-184	573
Interest paid fin	-6	-1	0	0
Dividends paid	-89	-92	-103	-267
Financial liabilities	0	0	0	0
Other financing items	0	3	0	-2
C.F. - Finance	-95	-90	-103	-269
Net Cash Flow	**19**	**-192**	**-293**	**961**

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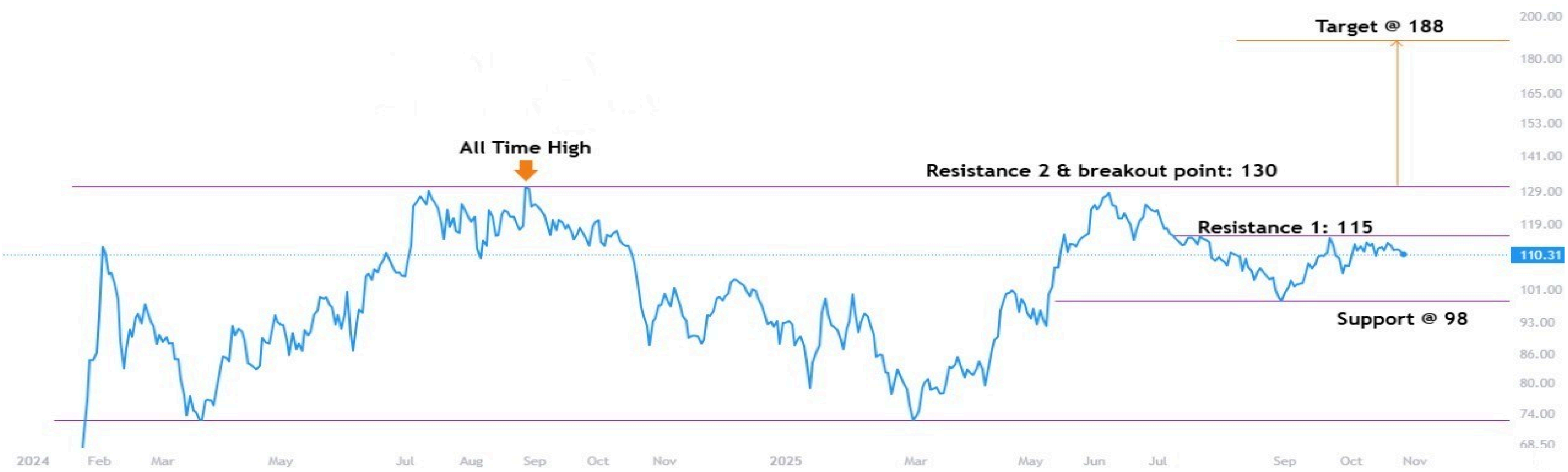

Recommandation:

• Upside potential of +17.8% toward ₹130 (Target 1) if the stock sustains above the ₹115 resistance level and breaks out with strong volume.

• A sustained move above ₹130 breakout point may open the way toward ₹188 (Target 2), offering a total upside potential of +70% from CMP ₹110.31.

• Support is placed at ₹98, which has acted as a reliable demand zone; a fall below this may lead to deeper correction toward ₹72 (long-term support).

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